Features of Departmental Undertaking

The salient features of a departmental undertaking are as follows:

i. Ultimate Responsibility

The ultimate responsibility for the management of a departmental undertaking lies with the minister concerned; who is responsible to the Parliament or State Legislature for the affairs of the departmental undertaking. The minister, in turn, delegates his authority downwards to various other management levels, in the departmental undertaking.

ii. Governmental Financing

The departmental undertaking is financed through annual budget appropriations by the Parliament or the State Legislature. The revenues of the undertaking are paid into the government treasury.

iii. Accounting and Audit

The departmental undertaking is subject to the normal budgeting, accounting and audit procedures, which are applicable to all Government departments.

iv. Managed by Civil Servants

The departmental undertaking is managed by civil servants, who are subject to same service conditions as applicable to civil servants of the Government.

v. Sovereign Immunity

A departmental undertaking cannot be sued anybody, without the consent of the Government.

9.02 Advantages and Disadvantages

Advantages

Following are the advantages of the departmental undertaking.

i. Easy Formation

It is easy to set up a departmental undertaking. The departmental undertaking is created by an administrative decision of the Government, involving no legal formalities for its formation.

ii. Direct and Control of Parliament or State Legislature

The departmental undertaking is directly responsible to the Parliament or the State legislature through its overall head i.e. the minister concerned.

iii. Secrecy Maintained

Strategic industries like defence and atomic power cannot be better managed other than government departments. Department undertakings can maintain secrecy in their working.

iv. Lesser Burden of Tax on Public

Earnings of departmental undertaking are entirely paid into Government treasury, resulting in lesser tax burden on the public.

v. Instrument of Social Change

Government can promote economic and social justice through departmental undertakings. Hence, a departmental undertaking can be used by the Government, as an instrument of social change.

vi. Lesser Risk of Misuse of Public Money

As the departmental undertaking is subject to budgeting, accounting and audit

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